



May , 2026

Via Hand Delivery

Chris Rice
California High-Speed Rail Authority
770 L Street, Suite 620
Sacramento, CA 95814

Re: RFP No. HSR25-89
Track and Systems Construction Contract – **BID PROTEST**

Dear Mr. Rice,

Pursuant to Section 8 of the Instructions to Proposers (ITP) for the referenced request for proposals (RFP), California High Speed Partners (CHSP) protests the California High-Speed Rail Authority's (Authority) rejection of CHSP's proposal as nonresponsive for the above-referenced project (Project). This protest is timely under Section 8.3 of the ITP because it is being submitted within five business days after CHSP's receipt of the Authority's April 29, 2026 notification of non-responsiveness.

BASIS FOR PROTEST

On April 29, 2026, the Authority rejected CHSP's proposal because "you will not have a California registered Professional Engineer within your Key Personnel by the date of Contract execution." This determination is incorrect and is premised, at most, on a curable and immaterial issue. As noted, the requirement is to have a Professional Engineer **at the time of Contract execution** not at the time of bid. Further, the only specific requirement to have a registered professional engineer is for the Design Oversight Manager.¹ CHSP can meet that requirement by substituting Jaykumar Desai, a California licensed engineer as its Design Oversight Manager now, well in advance of any potential contract execution.² This would satisfy the requirement that the Technical Proposal identify at least one Key Personnel who is a California registered Professional Engineer.

This substitution is immaterial to the process as it does not affect the bid price or confer any competitive advantage and thus can be and should be waived by the Authority to allow for the

¹ 6.6.2(f)(4) Design Oversight Manager – The Design Oversight Manager is responsible for the interface with the Track/OCS Design Consultant's organization(s) and preparation of the preliminary design for systems. The person nominated for this role should have a minimum of 15 years of progressive experience leading design organizations for the successful delivery of complex, multidisciplinary rail systems projects, including previous high-speed rail design experience. The Design Manager shall be a registered professional engineer in the State of California.

² Attached are all the requisite documents required to be submitted for Mr. Desai.



competitive bidding process to continue. (*Ghilotti Constr. Co. v. City of Richmond* (1996) 45 Cal.App.4th 897, 906-07 [Applying “[t]he test for measuring whether a deviation in a bid is sufficiently material to destroy its competitive character is whether the variation affects the amount of the bid by giving the bidder an advantage or benefit not enjoyed by the other bidders.].) At this time, the Authority has not evaluated nor scored the proposals, on either technical or price aspects. Accordingly, the Authority has not yet determined which bidder offers the best value for this Project. Instead, this one minor deviation, if not waived, will effectively eliminate all competition on this not-to-exceed \$3.5 billion procurement. Failure by the Authority to waive this immaterial bid deviation would risk leaving the Authority with only a single viable bidder for one of the most influential and expensive projects in the State of California. It would render the negotiation for price and best value non-existent leaving the State at the mercy of one bidder who would not need to conduct any negotiation with the Authority.³

As a state agency, the Authority is subject to California’s competitive bidding requirements, which exist “for the purpose of inviting competition, to guard against favoritism, improvidence, extravagance...**and to secure the best work or supplies at the lowest price practicable[.]**” (*Doma Electric, Inc. v. City of Los Angeles* (1994) 9 Cal.4th 161, 173.) These principles are not intended to elevate minor technical defects over substance. They are construed and administered in a manner that “accomplish[es] such purpose fairly and reasonably with sole reference to the public interest.” (*Ghilotti Constr. Co. v. City of Richmond* (1996) 45 Cal.App.4th 897, 909.) Because public agencies need the “authority to deal with problems in a sensible, practicable way,” competitive bidding requirements “are not to be given such a construction as to defeat the object of insuring economy and excluding favoritism. . .” (Ibid.)

As set forth below, the Authority’s waiver of any minor defect in CHSP’s proposal not only is permitted under California law, but also is clearly in the public interest of ensuring both adequate competition and the taxpayers’ receipt of best value for this important Project.

THE AUTHORITY HAS THE POWER TO WAIVE IMMATERIAL DEVIATIONS

Pursuant to the ITP, Section 3.3 specifically grants the Authority the right to waive deficiencies in a Proposal and permit clarifications:

“In connection with this procurement, the Authority reserves to itself all rights, which may be exercised by the Authority in its sole discretion, available to it under applicable law, including without limitation, with or without cause and with or without notice, the right to the following:

³ After scoring proposals, the Authority does not automatically award a contract to the top-ranked proposer. Instead, the Authority conducts negotiations with the top-ranked proposer and, if unsuccessful, proceeds to negotiate with the next highest ranked proposer. (ITP, § 7.8.)



5. Waive informalities, immaterialities, irregularities, mistakes, and deficiencies in a Proposal; and/or permit clarifications related to such.

Further, Sec. 7 states:

“The Authority may waive an immaterial deviation in a Proposal or any portion of any required submittal. The Authority reserves the right, at its sole discretion, to request clarifications regarding information contained in any Proposal or any portion of any required submittal. Waiver of an immaterial deviation shall in no way modify the RFP documents or excuse the Proposer from full compliance with the Contract requirements if the Proposer is awarded the Contract as a result of this procurement.”

Consistent with the terms of the ITP, California law is well settled that “a bid which substantially conforms to a call for bids may, though it is not strictly responsive, be accepted if the variance cannot have affected the amount of the bid or given a bidder an advantage or benefit not allowed other bidders or, in other words, if the variance is inconsequential.” (*Konica Bus. Machines U.S.A., Inc. v. Regents of Univ. of Cal.* (1988) 206 Cal.App.3d 449, 454.) Competitive bidding provisions do not preclude a public agency from utilizing its discretion to waive inconsequential bid deviations, particularly when doing so invites competition. (*Ghilotti*, supra, 45 Cal.App.4th at p. 908-09.)

To be clear, CHSP is not requesting to be excused from the requirements as it is prepared to substitute a licensed engineer to be the Design Oversight Manager. CHSP will be in full compliance at the time of contract award if it is determined that CHSP is the best value and completes the negotiation, all of which are yet to be decided.

ALLOWING THE SUBSTITUTION IS ENTIRELY IMMATERIAL TO THE BID

As noted, both the ITP and California law expressly permit the Authority to waive any bid defect resulting from CHSP’s designation of Mr. Singhal as the Design Oversight Manager. Courts have defined a variance as “inconsequential” when it could not have affected the amount of the bid or given a bidder an advantage or benefit not allowed other bidders. (*Ghilotti*, supra, 45 Cal.App.4th at p. 904-05.) “Thus, [laws] requiring competitive bidding are not to be given such a construction as to defeat the object of insuring economy and excluding favoritism and corruption.” (*Id.* at 9.) In short, immaterial deviations may be waived where they do not impact price or competitive standing.

The designation of Mr. Singhal, and substitution of him with a licensed California professional engineer, **does not affect CHSP’s proposal price**. CHSP’s price proposal is currently sealed in the Authority’s possession, remains intact and will not change based on this issue. Nor does this matter give CHSP any competitive advantage whatsoever, particularly in the context of this negotiated procurement, under which the Authority may revise the RFP as it wishes,



hold discussions with proposers, request proposal revisions, and re-evaluate and revise its ratings of proposers as appropriate. (ITP, § 7.5.) To the contrary, replacing Mr. Singhal – who has extensive relevant rail experience – may place CHSP at a relative disadvantage when factored into the Best Value determination, but it certainly does not give CHSP any advantage over any other bidder.

Even if Mr. Singhal was allowed to remain, the requirement that the engineering license be required at the time of execution of the Contract further confirms that any perceived issue is curable and not presently disqualifying. There is no immediate need for CHSP to designate a licensed California professional engineer as Design Oversight Manager because, although the Authority intends to issue the base contract in June 2026, the actual substantive work “packages” will not be performed until significantly later in time, after appropriate notices to proceed have been issued by the Authority. (ITP, §§ 2(3), 2(4), 2(8), and 2.2.) By that time, both Mr. Singhal and Mr. D’Cruz will be licensed engineers in California.

THE ENGINEERING AND DESIGN DIRECTOR IS NOT REQUIRED TO BE A LICENSED PROFESSIONAL ENGINEER IN CALIFORNIA

Independently, the Authority’s rejection lacks support because no licensing requirement applies to the Engineering and Design Director role. CHSP’s April 9, 2026 proposal listed Mr. Simon D’Cruz as the proposed Engineering and Design Director. Mr. D’Cruz is not currently a licensed California professional engineer, but will be acquiring one by the end of the year. Mr. D’Cruz is more than qualified to do this type of work and has extensive qualifications with \$104B HS2 High-Speed Rail, UK \$11B Etihad Rail Network, UAE and \$9B HS1 Contract 434, UK. Due to the fact that this Project is a one of a kind project in California, it is not at all surprising that bidders would propose personnel that have similar experience overseas where these projects are more common. Nonetheless, there is no requirement in the ITP that this position requires a California engineering license --

6.6.2(f)(3) Engineering and Design Director – The Engineering and Design Director is responsible for all engineering oversight and management within the Contractors’ project organization. This person is responsible for coordination between the Contractor’s design, construction, and testing teams, interface with the Track/OCS Design Services Consultant, interface with Interfacing Contractors and Interfacing Railroads and is responsible for the oversight of all subcontracting organizations. The person nominated for this role should have a minimum of 20 years of progressive experience leading all engineering activities within a Contractor’s organization for the successful delivery of complex, multidisciplinary rail systems projects, including previous high-speed rail delivery experience. Proposer shall list high-speed rail projects referenced by the Engineering and Design Director and their final value.



CHSP met all the requirements for listing its proposed Engineering and Design Manager and there is no basis to reject CHSP based on Mr. D'Cruz not being a licensed engineer in California.

CONCLUSION

For these reasons, and to promote competition and protect the public interest, the Authority should waive the claimed defect in CHSP's proposal as immaterial and accept Mr. Desai as the Design Oversight Manager. Doing so represents a "sensible, practicable" exercise of the Authority's discretion consistent with California law. (*Ghilotti, supra*, 45 Cal.App.4th at p. 909.)

I am authorized to sign this protest on behalf of CHSP and declare under penalty of perjury the above is true and correct to the best of my knowledge and belief.

Sincerely,

Mr. Andrew Bailey
Bid Director
California High Speed Partners
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Telephone No.: [REDACTED]

cc: Via Overnight Mail and Electronic Mail to:

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